New Jersey Sales Tax and You: An Overview

When you buy items or services in New Jersey, you generally pay Sales Tax on each purchase. The seller (a store, service provider, restaurant, etc.) collects tax at the time of the sale and sends it to the State. The law exempts some sales and services from Sales Tax.

Some examples of **taxable items** are:

- Automobiles, furniture, carpeting, and meals bought in restaurants.

Some examples of **taxable services** are:

- Lawn maintenance, auto repair, snow removal, and telecommunications.

Some examples of **nontaxable goods and services** are:

- Unprepared food for human consumption, clothing, certain professional and personal services, and real estate sales.

Publication S&U-4, New Jersey Sales Tax Guide, provides further information on Sales Tax. It includes extensive listings of taxable and exempt items and services. (The Division of Taxation has created publications to help answer your questions on an array of topics. Use the search box at the right hand side of the publications menu to search for Sales Tax items or select the arrow next to "Tax Type" find publications by tax type.)

Are There Any Exemptions to Paying Sales Tax?

Some sales are exempt from Sales Tax. When a purchaser claims a tax exemption on a sale, she or he must provide each seller with a tax exemption certificate. Different certificates are required for different types of sales.

These forms are available at exemption certificates.

For more information on Sales Tax exemptions, please see our publication S&U-6 (Sales Tax Administration).

What if I Purchased a Taxable Item or Service and Was Not Charged New Jersey Sales Tax?

If you buy a taxable item or service from a company and are not charged Sales Tax, you may have to pay Use Tax to New Jersey. (When Use Tax is owed, often it is on products or services purchased out of state or online.) For more information please visit our page: "Do You or Your Business Owe New Jersey Use Tax?"

What if I Sell Taxable Goods or Services in New Jersey?

As a seller of taxable goods or services, you are required to be registered with the New Jersey Division of Revenue and Enterprise Services. Once registered, you must display your Certificate of Authority for Sales Tax (Form CA-1) at your business location. This is your permit to collect Sales Tax and to use Sales Tax exemption certificates.

What Is the Current Sales Tax Rate?

The rate of tax is 6.625% on taxable sales occurring on or after January 1, 2018.

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